SOLVED PRACTICE WORKBOOK

Cooperative Societies - Learner-v2 Refreshed

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

Original deterministic study visual; labels are explanatory, not textual quotations.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / WORKBOOK INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

Cooperative Societies - Complete Uncompressed Learning Session

BASIC MCQS / REMEDIATION

C. Original MCQs - 36 Questions

OM1. Which description best captures a cooperative?

A. A jointly owned, democratically controlled enterprise formed voluntarily to meet common member needs B. A government department delivering subsidies to registered members C. A company in which voting must always equal capital contribution D. A charitable trust prohibited from economic activity

Answer: A.

Explanation: [FACT] The ICA definition centres voluntary association, common needs, joint ownership and democratic control. A cooperative may conduct substantial economic activity.

OM2. The seven ICA cooperative principles are best understood in India as:

A. Rules applicable only to dairy cooperatives B. Normative principles whose enforceability depends on incorporation into applicable law or bye-laws C. Directly enforceable constitutional commands for every society D. RBI directions binding on all non-banking cooperatives

Answer: B.

Explanation: [FACT] The principles are normative globally. The MSCS Act's First Schedule gives them statutory relevance in that field; State-law force depends on the applicable enactment.

OM3. Incorporation, regulation and winding up of a cooperative society whose objects are confined to one State ordinarily fall under:

A. Concurrent List B. Union List Entry 45 C. State List Entry 32 D. Union List Entry 43

Answer: C.

Explanation: [FACT] Entry 32 expressly includes cooperative societies in the State legislative field.

OM4. The constitutional legislative base for corporations whose objects are not confined to one State, including the MSCS framework, is:

A. State List Entry 32 B. Union List Entry 43 C. Concurrent List Entry 20 D. Union List Entry 44

Answer: D.

Explanation: [FACT] Entry 44 covers corporations, trading or not, with objects not confined to one State.

OM5. The 97th Amendment added "co-operative societies" to:

A. Article 19(1)(c) B. Article 21 C. Article 39(b) D. Article 51A

Answer: A.

Explanation: [FACT] Article 19(1)(c) now expressly protects citizens' right to form associations, unions or cooperative societies.

OM6. Article 43B directs the State to promote:

A. Compulsory State ownership of cooperative assets B. Voluntary formation, autonomous functioning, democratic control and professional management C. Uniform central registration of every cooperative D. Banking licences for all PACS

Answer: B.

Explanation: [FACT] Article 43B is a DPSP containing the four stated objectives. It is not a licensing provision.

OM7. Which set accurately states the three constitutional changes made by the 97th Amendment?

A. Article 14, Article 39A and Part IXA B. Article 19(1)(g), Article 43A and Part X C. Article 19(1)(c), Article 43B and Part IXB D. Article 21, Article 48 and Part IX

Answer: C.

Explanation: [FACT] The amendment created a Fundamental Right anchor, a DPSP and a dedicated cooperative-governance Part.

OM8. The express restriction clause applicable to Article 19(1)(c) is:

A. Article 19(2) B. Article 19(3) C. Article 19(5) D. Article 19(4)

Answer: D.

Explanation: [FACT] Article 19(4) permits reasonable restrictions in the interests of sovereignty and integrity of India, public order or morality.

OM9. Why was Part IXB invalidated in its application to State-field cooperatives?

A. It altered the State legislative field without the ratification required by Article 368(2) proviso B. The President withheld assent C. Parliament lacked the special majority in both Houses D. Article 43B violated the basic structure

Answer: A.

Explanation: [FACT] *Rajendra N. Shah* treated the missing half-State ratification as fatal because Part IXB constrained Entry 32.

OM10. After Rajendra N. Shah, which pair unquestionably remained untouched?

A. State List Entry 32 and Article 243ZT as a permanent transition B. Article 19(1)(c) and Article 43B C. Articles 243ZI and 243ZK for State cooperatives D. Every Part IXB command for every UT society

Answer: B.

Explanation: [FACT] The FR and DPSP amendments were not struck down. The State-field application of Part IXB did not survive.

OM11. Which statement most accurately captures the majority's Union Territory holding?

A. Part IXB was wholly invalid even for MSCS in UTs B. Every society confined within a UT is governed by Part IXB C. Part IXB survives for multi-State cooperative societies, including their operation in UTs; paragraph 78 rejects blanket application to a society confined within one UT D. Article 243ZS was expressly deleted

Answer: C.

Explanation: [FACT] Paragraphs 78 and 80 must be read together. "MSCS in States and UTs" is more accurate than "all UT cooperatives".

OM12. Article 243ZI concerns:

A. Cooperative offences B. Board supersession C. Member information D. Incorporation, regulation and winding up based on specified cooperative principles

Answer: D.

Explanation: [FACT] Article 243ZI names voluntary formation, democratic member control, member economic participation and autonomous functioning.

OM13. Under Article 243ZJ, the maximum number of directors is:

A. 21 B. 15 C. 18 D. 25

Answer: A.

Explanation: [FACT] The constitutional ceiling is 21, subject to the separate treatment of permitted co-opted and functional directors.

OM14. The Part IXB reservation rule is best stated as:

A. Reservation entirely left to bye-laws B. One SC or ST seat and two women's seats for a society of individual members having members from those categories C. One SC seat, one ST seat and one women's seat in every cooperative D. Reservation only if the government has share capital

Answer: B.

Explanation: [FACT] The constitutional text contains the membership-category qualification and uses one seat for SC or ST plus two for women.

OM15. A co-opted expert under Article 243ZJ:

A. Must be elected by all members B. Counts within the 21-director ceiling and may become president C. May be one of up to two experts beyond the ceiling but cannot vote in office-bearer elections or become an office bearer D. Must be a serving government officer

Answer: C.

Explanation: [FACT] Co-option adds expertise while preserving elected control over office-bearer choice.

OM16. The term of elected board members and office bearers under Article 243ZJ is:

A. Six years B. Three years C. Four years D. Five years

Answer: D.

Explanation: [FACT] The term is five years from election and the office-bearer term is conterminous with the board.

OM17. Article 243ZK seeks continuity by requiring:

A. Election before expiry so the new board assumes office immediately after the outgoing term B. Election within six months after board expiry C. Appointment of an administrator for every election D. Election by the Election Commission of India

Answer: A.

Explanation: [FACT] The election must precede expiry. The competent authority/body is created by the applicable law, not the ECI.

OM18. Under Article 243ZL's text, a board should not be superseded where:

A. The Registrar has ordered an audit B. There is no government shareholding, loan, financial assistance or guarantee C. The society has any overdue return D. The society has individual members

Answer: B.

Explanation: [FACT] The no-government-financial-link proviso protects autonomy against supersession under this constitutional mechanism.

OM19. Which is a recognised ground in Article 243ZL for supersession or suspension?

A. Refusal to receive a government loan B. A member's disagreement with dividend policy C. Persistent default, negligence, prejudicial act, board stalemate or election-authority failure D. Failure to adopt a Union model bye-law

Answer: C.

Explanation: [FACT] The article lists specific governance breakdowns. It does not authorise supersession for any policy disagreement.

OM20. Article 243ZM requires the accounts to be audited:

A. Only when the Registrar orders B. Before the board election C. Within three months of every quarter D. Within six months of the close of the relevant financial year

Answer: D.

Explanation: [FACT] Annual audit and the six-month completion rule are distinct requirements.

OM21. Article 243ZP requires returns to be filed:

A. Within six months of financial-year close B. Once every five years C. Only by apex societies D. Within thirty days of every board meeting

Answer: A.

Explanation: [FACT] The returns include annual activity, audited accounts, surplus plan, bye-law changes, meeting/election declaration and other required information.

OM22. Article 243ZR applies Part IXB to MSCS by:

A. Deleting every reference to State institutions B. Reading State Legislature/Act/Government references as Parliament/Central Act/Central Government C. Giving State Registrars concurrent authority over MSCS D. Applying only Article 243ZH

Answer: B.

Explanation: [FACT] This reference-substitution device enabled the majority to treat the MSCS scheme as severable.

OM23. Which statement about State cooperatives after the 2021 judgment is correct?

A. They are wholly outside constitutional rights B. They are governed directly by every Part IXB detail C. State law governs them, while Article 19(1)(c), Article 43B and general constitutional review remain relevant D. The Central Registrar replaces the State Registrar

Answer: C.

Explanation: [FACT] The governance field returned to State law; the separate FR and DPSP anchors remain.

OM24. The Co-operative Election Authority under the amended MSCS Act consists of:

A. A Chairperson, Vice-Chairperson and exactly three Members B. A Chairperson and exactly five Members C. The Central Registrar alone D. A Chairperson, Vice-Chairperson and not more than three Members

Answer: D.

Explanation: [FACT] Section 45 states a ceiling, not a permanently filled exact strength.

OM25. An MSCS in profit for the preceding three financial years contributes annually to the statutory Fund:

A. Rs 1 crore or 1% of net profit, whichever is less B. Rs 1 crore or 1% of turnover, whichever is more C. 5% of net profit without a ceiling D. Only when declared sick

Answer: A.

Explanation: [FACT] Section 63A uses net profit, a three-year profitability condition and the lower of the two amounts.

OM26. Current official Ministry material applies concurrent audit to MSCS having annual turnover or deposits:

A. Above Rs 1,000 crore only B. Above Rs 500 crore C. At any amount chosen by the society D. Of Rs 100 crore or more

Answer: B.

Explanation: [CURRENT] Section 70A leaves the amount to Central Government determination; official current material reports the above-Rs-500-crore threshold.

OM27. The Co-operative Ombudsman's statutory complaint jurisdiction includes:

A. Inter-State river disputes B. Every public grievance against any State cooperative C. Member complaints concerning deposits, equitable benefits or individual-right issues in an MSCS D. Criminal prosecution of directors

Answer: C.

Explanation: [FACT] Section 85A is member-centred and MSCS-specific. It does not replace criminal courts or State forums.

OM28. Under section 106, the Co-operative Information Officer must ordinarily provide information or reject with reasons within:

A. Seven days B. Fifteen days C. Forty-five days D. Thirty days

Answer: D.

Explanation: [FACT] The member may appeal a rejection to the Ombudsman within one month.

OM29. A State cooperative may merge into an existing MSCS under section 17(10) when:

A. A two-thirds majority of members present and voting resolves, subject to the applicable State cooperative law B. The Ministry issues an executive press release C. RBI approves even if it is not a bank D. A simple board majority decides without member notice

Answer: A.

Explanation: [FACT] The 2023 route preserves the State-law qualification and member resolution.

OM30. Which statement about the Ministry of Cooperation is correct?

A. It was created by constitutional amendment B. It was created by executive allocation of business and does not replace State legislative competence C. It is the Registrar for every Indian cooperative D. It controls cooperative-bank adjudication

Answer: B.

Explanation: [FACT] The Ministry was created on 6 July 2021 through executive reallocation. Entries 32, 44 and 45 remain controlling.

OM31. Urban Cooperative Banks are best described as:

A. Regulated solely by municipal law B. State departments supervised only by the Registrar C. Cooperative entities under the applicable cooperative law with RBI banking regulation/supervision D. PACS automatically converted into companies

Answer: C.

Explanation: [FACT] Their cooperative identity and prudential banking regulation coexist.

OM32. Which statement about PACS is most accurate?

A. Every PACS has an RBI banking licence B. NABARD statutorily supervises PACS exactly like DCCBs C. PACS may accept public deposits and use “bank” without restriction D. PACS operate principally under State cooperative law and are not among NABARD’s statutorily supervised entities

Answer: D.

Explanation: [FACT] PACS are foundational cooperative credit institutions but not automatically regulated banks.

OM33. For Article 12 status, the decisive inquiry is whether:

A. Government financially, functionally and administratively dominates the body through pervasive rather than merely regulatory control B. The body is registered under any statute C. Any officer can inspect its books D. It receives any minor concession

Answer: A.

Explanation: [FACT] *Pradeep Kumar Biswas* requires a body-specific control inquiry; statutory regulation alone is insufficient.

OM34. Thalappalam held that:

A. All cooperatives are Article 12 State B. Kerala cooperatives were not automatically RTI public authorities absent ownership, control or substantial financing by government C. The RTI Act never applies to a cooperative D. Registrar supervision is always pervasive control

Answer: B.

Explanation: [FACT] The holding was evidence- and statute-specific, not a universal immunity.

OM35. Article 226 may reach a cooperative that is not Article 12 “State” when:

A. Any private contractual dispute is alleged B. The member dislikes a bye-law C. The challenged action concerns performance of a public or statutory duty D. The society has more than one office

Answer: C.

Explanation: [FACT] Article 226 is broader than Article 12, but the remedy must connect to a public-law duty.

OM36. Which reform formulation best balances cooperative autonomy and accountability?

A. Permanent government supersession of elected boards B. Complete deregulation because members bear all risk C. Replacement of members by nominated experts D. Timely independent elections, professional capacity, transparent audit, member remedies and function-wise regulator coordination

Answer: D.

Explanation: [ANALYSIS] The balanced model protects democratic ownership while addressing fiduciary, prudential and information failures.

Visual 68 - Original MCQ Coverage Grid

MCQs	Coverage
1-8	Identity, principles, entries, FR/DPSP
9-16	Judgment and Part IXB board rules
17-24	Election, supersession, compliance, State/MSCS split
25-32	2023 reform, Ministry and cooperative banks
33-36	Article 12, RTI, writs and reform

Caption: The objective set covers constitutional, statutory, banking and rights dimensions.

D. Remedial MCQs - 12 Questions

Visual 69 - Remedial Error Map

```
RIGHT TO FORM != RIGHT TO AID
PART IXB TEXT != BINDING STATE-COOPERATIVE LAW
MSCS IN UT != EVERY UT-CONFINED SOCIETY
ICA PRINCIPLE != AUTOMATIC ENFORCEABLE RULE
COOPERATIVE CREDIT != RBI-LICENSED BANKING
ARTICLE 12 != ARTICLE 226 != RTI SECTION 2(h)
```

Caption: The remedials target the six most likely category errors.

RM37. Article 19(1)(c) most directly protects:

A. Formation of cooperative societies, not an unconditional claim to recognition, subsidy or a chosen management structure B. Guaranteed State purchase of cooperative output C. Immunity from audit D. Automatic registration of every application

Answer: A.

Explanation: [FACT] Formation is expressly protected and remains subject to Article 19(4). Consequential benefits require an independent legal source.

RM38. Which statement about the 2021 judgment is correct?

A. It struck Article 43B alone B. It did not strike the entire 97th Amendment; the FR and DPSP changes survived separately C. It transferred State cooperatives to Parliament D. It invalidated the MSCS Act, 2002

Answer: B.

Explanation: [FACT] The case concerned Part IXB's unratified alteration of the State field. Article 19(1)(c), Article 43B and the statutory MSCS law remained.

RM39. The safest statement on Union Territories after Rajendra N. Shah is:

A. UT cooperative law is exclusively a State legislative matter B. Article 243ZS has no text C. Part IXB operates for MSCS in States and UTs, while paragraph 78 denies blanket application to a society confined within one UT D. Every UT society is bound by Part IXB

Answer: C.

Explanation: [FACT] This formulation preserves both the operative order and the majority's specific reasoning.

RM40. A State cooperative statute reproduces a five-year board term similar to Article 243ZJ. Its binding force after 2021 comes primarily from:

A. The ICA statement B. Article 43B alone C. A Ministry circular D. The valid State statute enacted under Entry 32

Answer: D.

Explanation: `[FACT]` State legislatures may independently choose similar standards. Similarity does not restore invalidated Part IXB application.

RM41. Which is the best example of correct source labelling?

A. "Concern for community is an ICA principle; its enforceable content depends on the applicable statute and bye-laws." B. "ICA principles override the MSCS Act." C. "Every cooperative must follow every ICA explanatory note as constitutional law." D. "Article 43B is directly enforceable against a private board."

Answer: A.

Explanation: `[FACT]` Normative, constitutional-policy and statutory layers must be separated.

RM42. The Co-operative Election Authority created in 2023:

A. Conducts Lok Sabha and cooperative elections B. Conducts MSCS elections under the Union statute, not elections of every State cooperative C. Is the same body as the Election Commission of India D. Is appointed by State Registrars

Answer: B.

Explanation: `[FACT]` Its jurisdiction follows the MSCS Act.

RM43. Which society is statutorily required to make the section 63A contribution?

A. Only a society already declared sick B. Every RBI-regulated bank C. An MSCS in profit for the preceding three financial years, subject to the lower-of-two amount D. Every cooperative, including a loss-making State society

Answer: C.

Explanation: `[FACT]` The contribution trigger and amount are both qualified.

RM44. Why should the Rs 500 crore concurrent-audit threshold be written with a current-source label?

A. Because section 70A has been struck down B. Because the threshold is an ICA recommendation C. Because only State law can specify it D. Because section 70A delegates the amount to Central Government determination rather than permanently writing Rs 500 crore into the section

Answer: D.

Explanation: `[CURRENT]` The threshold is officially reported and operative, but its legal form is delegated determination.

RM45. Which statement correctly distinguishes a PACS from a DCCB?

A. PACS is generally a primary cooperative credit society under State law; DCCB is a cooperative bank subject to RBI regulation and NABARD statutory supervision B. PACS and DCCB are identical legal categories C. PACS is regulated only by RBI D. DCCB is outside cooperative law

Answer: A.

Explanation: `[FACT]` The institutions occupy different tiers and regulatory positions.

RM46. If a cooperative is not a "public authority" under RTI section 2(h):

A. It automatically becomes Article 12 State B. Information that a public authority can access under another law may still be sought from that public authority under section 2(f) C. Article 226 is barred D. No information relating to it can ever be obtained

Answer: B.

Explanation: `[FACT]` *Thalappalam* preserves this distinction between direct RTI obligation and information accessible through a public authority.

RM47. Which factor by itself is least sufficient to establish Article 12 status?

A. Complete financial domination by government B. Functional governmental control and public character C. Ordinary statutory regulation by the Registrar D. Administrative domination particular to the body

Answer: C.

Explanation: `[FACT]` Merely regulatory control applies to many private bodies and does not establish government instrumentality.

RM48. A high-quality Mains paragraph on cooperative federalism should:

A. Quote Article 43B and stop B. Treat all cooperatives as Union subjects C. List every Ministry initiative D. State a claim, name the Entry/Article/case, explain the federal consequence and add the State/MSCS qualification

Answer: D.

Explanation: `[ANALYSIS]` This follows the package's claim -> evidence -> analysis -> qualification discipline.

Visual 70 - Complete Objective-Practice Rotation

```
Q01-Q04  C A B D
Q05-Q08  C A B D
Q09-Q12  C A B D
Q13-Q16  C A B D
Q17-Q20  C A B D
Q21-Q24  C A B D
Q25-Q28  C A B D
Q29-Q32  C A B D
Q33-Q36  C A B D
Q37-Q40  C A B D
Q41-Q44  C A B D
Q45-Q48  C A B D
```

Caption: Forty-eight markers follow one uninterrupted C-A-B-D sequence.

PYQS AND ANSWER PRACTICE

A. PYQ Routing Audit

[FACT] All local Prelims and Mains routing/audit ledgers were searched for "cooperative", "co-operative", "97th Amendment", "Part IXB", "Article 43B", "Multi-State" and "Rajendra N. Shah".

[LIMIT] No direct standalone Polity PYQ on the 97th Amendment, Part IXB or *Rajendra N. Shah* was verified in the routed corpus. Three genuinely adjacent Prelims PYQs were verified from the official/local papers: **2020 Q59 on DCCBs**, **2021 Q5 on UCBs**, and **2023 Q26 on Small Farmer Large Field**. They remain labelled adjacent Economy/agriculture questions and are not relabelled as direct Polity PYQs.

Visual 64 - Verified PYQ Coverage

Year/paper	Question	Relationship to topic	Key status
2020 Prelims GS-I Q59	DCCB agricultural-credit role	Adjacent cooperative-banking route	Inferred; official key unavailable locally
2021 Prelims GS-I Q5	UCB regulation/features	Adjacent cooperative-banking route	Inferred; official key unavailable locally
2023 Prelims GS-I Q26	Small Farmer Large Field	Adjacent cooperative-production route	Inferred; official key unavailable locally
Mains/direct Polity	None verified	No invented PYQ	Original practice clearly labelled

Caption: Routing relevance does not permit changing an Economy question into a Polity PYQ.

B. Verified Adjacent Prelims PYQs

PYQ 1 - 2020 Prelims GS-I Q59

> Consider the following statements: 1. In terms of short-term credit delivery to the agriculture sector, District Central Cooperative Banks (DCCBs) deliver more credit in comparison to Scheduled Commercial Banks and Regional Rural Banks. 2. One of the most important functions of DCCBs is to provide funds to the Primary Agricultural Credit Societies. Which of the statements given above is/are correct? (a) 1 only (b) 2 only (c) 1 and 2 (d) Neither 1 nor 2

INFERRED KEY - NOT OFFICIALLY VERIFIED LOCALLY: B - 2 only. Confidence: high.

[FACT] DCCBs are an intermediate tier linking State Cooperative Banks and PACS and provide funds to PACS. Statement 1's comparative claim is not correct.

Visual 65 - DCCB Elimination Route

```
Statement 2 -> core tier function: DCCB funds/supports PACS -> true
Statement 1 -> overstates DCCB share relative to scheduled commercial banks -> false
Result -> statement 2 only -> option B
```

Caption: UPSC tested functional hierarchy and a misleading comparative claim.

PYQ 2 - 2021 Prelims GS-I Q5

> With reference to "Urban Cooperative Banks" in India, consider the following statements: 1. They are supervised and regulated by local boards set up by the State Governments. 2. They can issue equity shares and preference shares. 3. They were brought under the purview of the Banking Regulation Act, 1949 through an Amendment in 1966. Which of the statements given above is/are correct? (a) 1 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

INFERRED KEY - NOT OFFICIALLY VERIFIED LOCALLY: B - 2 and 3 only. Confidence: high.

[FACT] UCB prudential regulation/supervision is not vested in State-created local boards. The legal framework permits capital instruments subject to RBI regulation, and UCBs were brought under the Banking Regulation Act's cooperative application in 1966.

Visual 66 - UCB Statement Audit

Statement	Verdict	Reason
1	False	RBI, not a State-created local board, supplies banking regulation/supervision
2	True	Equity/preference capital is permitted subject to law and RBI directions
3	True	1966 amendment brought cooperative banks into BR Act framework

Caption: Cooperative registration and banking supervision must not be fused.

PYQ 3 - 2023 Prelims GS-I Q26

> Which one of the following best describes the concept of "Small Farmer Large Field"? (a) Resettlement of war-displaced people on a large collectively cultivated field (b) Many marginal farmers in an area organise into groups and synchronise and harmonise selected agricultural operations (c) Marginal farmers surrender land to a corporate body for a fixed term and payment (d) A company supplies loans, knowledge and inputs so farmers produce its required commodity

INFERRED KEY - NOT OFFICIALLY VERIFIED LOCALLY: B. Confidence: high.

[FACT] The concept preserves small holdings while coordinating selected operations for scale. It is not land surrender, refugee resettlement or contract farming.

Visual 67 - Collective Operation Without Land Surrender

```
SEPARATE SMALL HOLDINGS
        +
GROUP COORDINATION OF SELECTED OPERATIONS
        =
LARGE-FIELD ECONOMIES OF SCALE

Ownership need not be transferred to a company or collective.
```

Caption: The cooperative insight is operational pooling, not compulsory ownership consolidation.

E. Original Solved Mains Practice - 8 Questions

M1. 10 marks | 150 words

“The 97th Constitutional Amendment survived, but not in the form originally expected.” Explain the present constitutional position of cooperative societies.

Visual 71 - Three-Change, One-Limit Spine

```
97TH AMENDMENT
  -> Article 19(1)(c) survives
  -> Article 43B survives
  -> Part IXB survives only in valid multi-State field
  -> State cooperatives return to State law
```

Model solution

The 97th Amendment gave cooperatives a three-layer constitutional position, but the Supreme Court later confined its governance layer to the field Parliament could validly reach.

First, `[FACT]` it added cooperative societies to **Article 19(1)(c)**. This protects citizens’ freedom to form them, subject to reasonable restrictions under Article 19(4); it does not guarantee State aid, recognition or a preferred management system.

Second, `[FACT]` **Article 43B** directs the State to promote voluntary formation, autonomy, democratic control and professional management. As a DPSP, it guides law and policy but is non-justiciable.

Third, `[FACT]` it inserted **Part IXB**. In **Union of India v. Rajendra N. Shah (2021)**, the Court held that this Part altered the State legislative field under **Entry 32** without half-State ratification under Article 368(2). The majority therefore severed its State-field application but saved it for **multi-State cooperative societies under Entry 44**, including MSCS operations in Union Territories.

[LIMIT] Ordinary State cooperatives are governed by State law; States may enact similar standards independently.

Conclusion: The amendment’s rights and policy anchors remain national, while detailed binding governance follows the restored State/MSCS federal divide.

Why this earns marks: It answers “present position”, separates all three changes, names the case and gives the exact qualification.

M2. 10 marks | 150 words

Does Article 19(1)(c) create an unconditional right to registration, aid and autonomous management of a cooperative society? Explain.

Visual 72 - Formation Right Funnel

```
RIGHT TO FORM
         |
Article 19(4) reasonable restrictions
         |
registration and governance under valid law
         |
NO automatic aid / recognition / immunity
```

Model solution

No. Article 19(1)(c) expressly protects citizens’ right to form cooperative societies, but it is a qualified freedom, not a bundle of guaranteed consequential benefits.

`[FACT]` **Article 19(4)** permits reasonable restrictions in the interests of sovereignty and integrity of India, public order and morality. `[ANALYSIS]` Therefore, a law that directly obstructs formation must satisfy this constitutional standard.

However, `[FACT]` the association doctrine distinguishes formation from every claimed consequence. Registration conditions, audit, member protection, solvency and election rules may arise from a valid State cooperative statute or the MSCS Act. The right does not compel the State to recognise any proposed body irrespective of legal requirements, grant subsidy or credit, purchase its output, or preserve a management arrangement contrary to applicable law.

[ANALYSIS] Autonomy remains constitutionally important through Article 43B, but autonomy means member-led functioning within law, not immunity from fiduciary, prudential or democratic accountability.

Conclusion: Article 19(1)(c) prevents unjustified suppression of cooperative formation; it does not constitutionalise State patronage or deregulation.

Why this earns marks: It directly rejects the absolute proposition, gives the restriction clause and distinguishes formation, regulation and benefit.

M3. 10 marks | 150 words

Map the governance architecture of Part IXB within its present surviving constitutional field.

Visual 73 - Part IXB Answer Strip

```
ZH definitions -> ZI incorporation principles -> ZJ board
-> ZK election -> ZL supersession -> ZM audit
-> ZN AGM -> ZO member information -> ZP returns
-> ZQ offences -> ZR MSCS -> ZS UT text -> ZT transition
```

Model solution

Part IXB creates a complete cooperative-governance cycle, but after **Rajendra N. Shah*** it should be stated only within its surviving multi-State field.

[FACT] Articles **243ZH-ZI** define the institution and base incorporation, regulation and winding up on voluntary formation, democratic member control, economic participation and autonomy. **243ZJ** limits directors to 21, provides qualified SC/ST and women's representation, permits expert co-option and fixes a five-year term. **243ZK-L** require pre-expiry elections and restrict supersession to listed grounds and time limits.

[FACT] Accountability follows through annual audit under **243ZM**, AGM under **243ZN**, member information and education under **243ZO**, six-month returns under **243ZP**, and offences under **243ZQ**.

[FACT] **243ZR** adapts State references to Parliament/Central institutions for MSCS; **243ZS** textually addresses UTs; **243ZT** is transitional.

[LIMIT] The Court's paragraph 78 rejects blanket Part IXB application to a cooperative confined within one UT. State-field societies are governed by State law.

Why this earns marks: It maps every article family while controlling the present reach instead of reciting invalidated general application.

M4. 15 marks | 250 words

Critically examine Union of India v. Rajendra N. Shah as a judgment on cooperative federalism and constitutional amendment procedure.

Visual 74 - Federalism Causal Chain

```
ENTRY 32 STATE POWER
      ->
PART IXB CONDITIONS STATE LEGISLATION
      ->
ARTICLE 368(2) RATIFICATION REQUIRED
      ->
RATIFICATION ABSENT
      ->
STATE-FIELD APPLICATION INVALID
      ->
MSCS SCHEME SAVED BY SEVERABILITY
```

Model solution

Rajendra N. Shah (2021) is best understood as a federalism judgment enforced through constitutional-amendment procedure, not as a rejection of cooperative reform.

Federal claim. [FACT] Cooperative societies confined to one State fall under **Entry 32, State List**. Part IXB prescribed incorporation principles, board composition, elections, supersession, audit and returns, thereby conditioning how State legislatures could exercise that field. [ANALYSIS] The change was substantive even though Entry 32's words were not formally amended.

Procedural evidence. [FACT] The proviso to **Article 368(2)** requires ratification by at least half of State Legislatures for specified federal changes. The 97th Amendment lacked that ratification. The majority therefore upheld invalidation insofar as Part IXB applied to State-field societies. This protects State consent against indirect centralisation.

Severability. [FACT] Article **243ZR** reads the Part for MSCS through Parliament and Central institutions. Because MSCS fall under **Entry 44, Union List**, the majority saved that scheme. It also left Article 19(1)(c) and Article 43B untouched. [ANALYSIS] The result preserved Parliament's legitimate field while correcting overreach.

Critical qualification. Justice K.M. Joseph's dissent considered the provisions too interdependent to survive severance. Further, the majority's UT reasoning requires care: paragraph 80 saves MSCS in States and UTs, while paragraph 78 rejects application to a society confined within one UT.

Verdict. The judgment strengthens cooperative federalism by requiring national reform to proceed through constitutionally valid MSCS law, State legislation, consent and coordination rather than an unratified uniform command.

Why this earns marks: It links Entry 32, Article 368, severability, dissent and the exact UT qualification to a reasoned federal verdict.

M5. 15 marks | 250 words

Assess whether the Multi-State Co-operative Societies (Amendment) Act, 2023 adequately balances democratic autonomy with governance accountability.

Visual 75 - 2023 Balance Sheet

Accountability gain	Autonomy concern	Safeguard needed
Election Authority	Centralised election administration	Transparent procedure and appeal
Concurrent audit	Compliance burden	Risk-based threshold
Ombudsman	External direction	Natural justice and timely appeal
Information Officer	Member transparency	Clear disclosure norms
Anti-nepotism rules	Board discretion reduced	Precise conflict definitions
Rehabilitation Fund	Collective support	Contribution/use accountability

Model solution

The 2023 Amendment meaningfully strengthens accountability in the multi-State field, but its success depends on preserving real member control and proportionate administration.

Democratic governance. [FACT] Sections 45-45L create a **Co-operative Election Authority**, require secret-ballot board elections and a six-month advance intimation before term expiry. [ANALYSIS] This directly addresses delayed or captured elections. [LIMIT] Independence must also be judged by transparent appointments, procedures and reasoned decisions.

Board integrity. [FACT] Section 41 retains a 21-director ceiling, qualified SC/ST and women's representation, expert co-option and new conflict/nepotism controls. These improve inclusion and fiduciary discipline; expertise should supplement rather than displace elected member authority.

Financial accountability. [FACT] Section 70A provides concurrent audit for notified large MSCS; current official material uses turnover/deposits above Rs 500 crore. National-society audit reports go to Parliament. [ANALYSIS] Risk-based scrutiny can detect irregularity earlier, but filing volume is not proof of effective audit.

Member remedies. [FACT] Section 85A creates an Ombudsman for specified member complaints; section 106 creates an Information Officer with a thirty-day response. These reduce internal information asymmetry.

Resilience. [FACT] Sections 63A-C create a contribution-funded rehabilitation and development mechanism, with RBI approval for a sick multi-State cooperative bank's reconstruction.

Verdict. The Act moves from Registrar-centric control toward elections, disclosure, grievance redress and risk-based audit. Its balance will be adequate only if implementation remains member-centric, digitally inclusive, procedurally fair and coordinated with banking regulators.

Why this earns marks: It tests the Act by mechanism, names exact provisions and gives a balanced implementation qualification.

M6. 15 marks | 250 words

“Cooperative banks face multiple regulation because they combine two legal identities.” Analyse.

Visual 76 - Two Identities, Three Regulators

```
COOPERATIVE IDENTITY
membership | registration | elections | bye-laws
        -> State Registrar or Central Registrar

BANKING IDENTITY
licence | capital | prudential norms | depositor protection
        -> RBI

RURAL SUPERVISION
StCB / DCCB statutory inspection
        -> NABARD
```

Model solution

Cooperative banks are member-owned cooperative legal persons that also accept deposits and extend banking credit. Their multiple regulation follows from this dual character.

Cooperative-law layer. `[FACT]` An intra-State UCB, State Cooperative Bank or DCCB is incorporated under State cooperative law; an eligible multi-State cooperative bank uses the MSCS Act. Membership, bye-laws, elections and specified management matters therefore involve the relevant Registrar.

Prudential layer. `[FACT]` Banking is **Union List Entry 45**. RBI regulates covered cooperative banks under the Banking Regulation Act as applicable to cooperative societies. The 2020 Amendment strengthened RBI’s role in governance, capital, audit, reconstruction and management-related controls; RBI material records staged application to UCBs and rural cooperative banks.

Supervisory layer. `[FACT]` NABARD statutorily supervises and inspects State Cooperative Banks and DCCBs under section 35(6), while PACS do not figure among NABARD’s statutorily supervised entities.

Why overlap is necessary. `[ANALYSIS]` Member democracy cannot replace depositor protection, capital adequacy or connected-lending control. Conversely, prudential regulation should not erase cooperative participation.

Problems. Regulatory overlap can create conflicting directions, delayed corrective action and accountability diffusion. Political influence, weak professional capacity and poor credit discipline intensify these risks.

Reform. Define lead responsibility by function; share supervisory data; conduct fit-and-proper, conflict and audit review; professionalise boards; and preserve member information and election rights.

Verdict. Multiple regulation is structurally justified, but it must become coordinated regulation-autonomy for cooperative purpose with strict prudential accountability.

Why this earns marks: It derives each regulator from a distinct legal function and avoids the simplistic “RBI versus States” narrative.

M7. 20 marks | 250 words

A cooperative society is not automatically “State”, but it may still face public-law and transparency obligations. Discuss with reference to Article 12, Article 226 and the RTI Act.

Visual 77 - Status Is Question-Specific

```
ARTICLE 12 -> government instrumentality?
ARTICLE 226 -> public/statutory duty in challenged action?
RTI 2(h)   -> created/owned/controlled/substantially financed?
RTI 2(f)   -> can a public authority lawfully access the information?
```

Model solution

The statement is correct because Indian public law uses different tests for constitutional status, writ jurisdiction and information access.

Article 12. `[FACT]` Registration under a cooperative statute or ordinary Registrar supervision does not by itself make a society “State”. **Ajay Hasia** *identified instrumentality indicators; the seven-judge bench in* **Pradeep Kumar Biswas**

asked whether government financially, functionally and administratively dominates the body through pervasive, body-specific control. [ANALYSIS] The test prevents the State from avoiding Fundamental Rights through an incorporated instrumentality while excluding merely regulated private bodies.

Article 226. [FACT] The High Court's power extends to "any person or authority". Under **Andi Mukta***, a writ may issue to a body performing a public duty even if it is not Article 12 State. [LIMIT] The remedy must relate to that public or statutory duty; a purely private membership or contract dispute does not automatically become public law.

RTI section 2(h). [FACT] In **Thalappalam Service Cooperative Bank***, the Supreme Court held that the concerned Kerala societies were not automatically public authorities absent evidence of government ownership, control or substantial direct/indirect financing. Registrar regulation was insufficient.

RTI section 2(f). [FACT] Even where the society is not itself a public authority, information relating to a private body that a public authority can access under another law may be sought from that public authority.

Application. A heavily government-dominated cooperative may satisfy Article 12; a different society may fail Article 12 yet face a writ for a statutory public duty; another may become an RTI public authority because of substantial finance.

Verdict. The correct approach is society-specific and remedy-specific, not the blanket proposition "cooperatives are private" or "cooperatives are State".

Why this earns marks: It distinguishes all three tests, uses four named cases/provisions and shows how outcomes can legitimately differ.

M8. 20 marks | 250 words

Cooperatives can deepen inclusive development, yet democratic ownership alone does not guarantee democratic outcomes. Critically examine and suggest reforms.

Visual 78 - Development-to-Governance Balance

Development channel	Democratic risk	Reform response
Aggregation	Dominant-member capture	Transparent membership and voting
Last-mile credit	Connected lending	Prudential audit and conflict rules
Local ownership	Political factionalism	Independent timely elections
Shared surplus	Weak capital formation	Reserve and capital strategy
Community knowledge	Skill deficit	Professional management
Scale through federation	Bureaucratisation	Subsidiarity and member information

Model solution

Cooperatives can convert dispersed producers, consumers and borrowers into an institution with scale, bargaining power and local ownership. However, legal membership is only the starting condition for democratic development.

Inclusive potential. [ANALYSIS] Aggregation can lower transaction costs, improve price negotiation and enable shared processing, marketing, housing or credit. Dairy cooperatives such as the Amul model illustrate how member procurement, processing and market access can be linked. [LIMIT] The example proves a mechanism under supportive governance, not universal success.

Democratic value. [FACT] Article 19(1)(c) protects formation; Article 43B promotes voluntary, autonomous, democratic and professionally managed cooperatives. Member economic participation can retain value locally and improve last-mile access.

Failure mechanisms. Passive membership enables entrenched boards; politicised elections weaken autonomy; delayed audits conceal related-party decisions; thin capital and weak professional capacity reduce competitiveness. In cooperative banks, poor credit discipline also threatens depositors, requiring RBI/NABARD oversight.

Federal challenge. [FACT] State-field cooperatives remain under State law after **Rajendra N. Shah***, while MSCS use Part IXB and the amended 2002 Act. [ANALYSIS] Reform quality may therefore vary, making coordination preferable to a constitutionally invalid uniform command.

Reforms.

1. Clean membership and voter rolls with timely independent elections.
2. Professional boards/management with elected-member control and conflict disclosure.
3. Risk-based audit, usable public/member data and early-warning systems.
4. Information Officers, credible grievance redress and protected whistleblowing.
5. Clear RBI-NABARD-Registrar coordination for banks.
6. Technology with cybersecurity, accessibility and offline inclusion.
7. Outcome review based on member use and benefit, not registration counts.

Verdict. Cooperatives succeed when autonomy, participation, professionalism and accountability reinforce one another; democratic form without active members can merely decentralise capture.

Why this earns marks: It connects development mechanisms to failure mechanisms, uses constitutional/statutory evidence and proposes matched, qualified reforms.

Visual 79 - Eight-Answer Reuse Matrix

Question family	Reusable anchors
Constitutional status	Articles 19(1)(c), 43B, Part IXB
Federalism	Entries 32/44, Article 368(2), *Rajendra N. Shah*
Governance	243ZJ-ZQ, 2023 Amendment
Banking	Entry 45, RBI, NABARD, Registrar
Rights/status	*Ajay Hasia*, *Pradeep Kumar Biswas*, *Thalappalam*, Article 226
Reform	elections, audit, professional capacity, member information, coordination

Caption: Reuse named evidence, but tailor the thesis and dimensions to the directive.